have solved the externality problem, without a requirement for state intervention.

There is a general idea here. Detailed bureaucratic solutions can be brought into addressing externality problems. But there are also other ways out of the problem: Private persons can enter into contracts, which internalize the externality.

When we set up a detailed bureaucratic state intervention, there are considerable difficulties in obtaining the full knowledge of prices and technology within the government, through which optimal decisions can be made. In contrast, when private persons negotiate with each other, the full knowledge of prices and technology is brought into play by well-incentivized actors, in order to find the right solution.

The canonical example of this field concerns a steel mill and a fishery. The pollution emitted by the steel mill imposes a negative externality upon the fishery.

If the same person owned the fishing company and the steel mill, the emission of pollution would be optimal. The single owner would weigh profit from fishing, profit from making steel, and the cost of pollution control. We cannot predict what the correct answer would be, but the unified owner would understand the trade-offs and choose the optimal path, without requiring government coercion on emission of pollution. This is the simplest case.

In this simplest case, the knowledge of technology and prices that the single owner has would yield an optimal answer, that would generally be better than a government agency that worked on pollution control.

Let us now move to the case where the fishery is distinct from the steel mill, but property rights are clear. The structure of rights must be so configured that the fishery and the steel mill are forced to negotiate a voluntary arrangement. The two sides will explore all contractual possibilities and come out with a contract that works the best for both of them. We cannot predict what the outcome will be. Either the fishery will pay the steel mill to emit reduced pollution, or the steel mill will pay the fishery and emit a certain amount of pollution.